LAKES TREATMENT CENTER, INC., et al v RESORT AT LAKE TULLOCH, LLC, et al

21CV45585

DIAMOND DIRT, LLC'S DEMURRER TO PLAINTIFF'S THIRD AMENDED COMPLAINT

This case stems from a property dispute between The Lakes Treatment Center, Inc. ("Lakes Treatment") and Bernadette Cattaneo ("Cattaneo") (collectively "Plaintiffs") and The Resort at Lake Tulloch, ("Resort"), Narullah Safdari ("Safdari"), Odell Tristin ("Tristin"), Michael Van ("Van"), Andreas Ambramson ("Abramson"), and Diamond Dirt LLC ("Diamond") (collectively, "Defendants.")

Now before the Court is Diamond's demurrer to the 11th and 12th causes of action in Plaintiff's Third Amended Complaint: 1) breach of contract and 2) breach of implied covenant of good faith and fair dealing. Van joins in the demurrer, however the causes of action are not alleged against Van, so the joinder is legally meaningless.

I. Relevant Background

On September 9, 2021, Plaintiffs filed their original complaint against Resort, Safdari and Tristin. Plaintiffs filed a First Amended Complaint on July 5, 2023, adding Van and Abramson and new causes of action. On August 16, 2023, by stipulation of the parties, Plaintiffs filed a Second Amended Complaint ("SAC") adding Diamond as a defendant. On May 22, 2026, the Court granted Plaintiff's motion for leave to file a Third Amended Compliant ("TAC.")

Plaintiff The Lakes Treatment Center, Inc. is a licensed and accredited drug and alcohol addiction treatment facility that is owned entirely by Cattaneo. (TAC ¶ 4.) Diamond is a limited liability company organized in Nevada and doing business in California. (*Id*. ¶ 11.) Van is an attorney who was retained by Resort and who is also affiliated with Diamond and is listed as Diamond's agent for service of process. (*Id.* ¶ 9.)

On or about March 13, 2004, Cattaneo and Diamond, along with several others initial investors (other investors collectively referred to herein as "Other Original Members"), formed the Resort. (TAC ¶ 17.) The Resort was established as a member-managed limited liability company, governed by Operating Agreement executed by all of the original members. (*Ibid*., Ex. A.) At the time of creation, Cattaneo and here then husband Abramson, owned 20% of Resort with Diamond also owned 20% of the Resort. (*Id*. ¶ 19.) At that time, Diamond was owned and managed by John Giambi. (*Ibid*.)

In 2004, the Resort acquired two pieces of adjacent real property, referred to hereinafter as the "Leased Property" and the "Chalet" (collectively, "Properties.") (TAC ¶ 21.) On January 1, 2005, the Members of The Resort executed a Resolution and named Cattaneo "President" of the company with authority to execute deeds. (*Id*. ¶ 22.) Around that time, some Original Members decided to sell, and Cattaneo/Abramson came to own 40% as did Diamond. (*Id*. ¶ 23.) In 2010, there was another round of buyouts, after which, Diamond owned 90% of Resort, and Cattaneo owned 10%. (*Id.*¶ 24.)

In March 2015, Resort entered into a commercial lease agreement with Lakes Treatment to rent the Leased Property. (TAC ¶ 25.) The Lease was set for a 20-year term, to expire in March 2035 with a monthly rent of $20,000.00. (*Ibid.,* Ex. B.) According to the lease, the landlord was responsible for maintenance of significant portions of the property. (*Ibid*.) However, thereafter, Giambi, Cattaneo, Diamond and Lakes agreed that Lakes would be responsible for maintenance. (*Id*. ¶ 27.) In exchange, Plaintiffs received a right of first refusal to purchase Resort's real estate assets which included the Chalet and a third property on Lake Tulloch at 88 Sanguinetti Court, Copperopolis, California 95228 ("88 Sanguinetti") (*Id*. ¶ 27.) Plaintiffs allege that in reliance on that, they expended significant monies on the Leased Property.

In July 2019, John Giambi died and around that time Jason Giambi became the majority owner and managing member of Diamond and sometime later Kristian Giambi became a co-owner and co-managing member of Diamond. (TAC ¶ 28.) Later in October 2019, Plaintiffs expended monies providing litigation defense related to a federal lawsuit.

At some point in 2019, Resort (through its attorney Van) and Cattaneo began negotiating Cattaneo's right to acquire all ownership interests in Resort and its properties, but the deal was never finalized in writing. (TAC ¶ 31.) Thereafter, Plaintiffs allege that there was a concerted effort to push her out of the business and keep them from obtaining the Properties. At some point, however, Plaintiff purchased the 88 Sanguinetti property, which she believed was part of the process of eventually owning all the assets. (*Id.* ¶ 33.)

However, in 2020, Resort sold the Properties to Safdari but Cattaneo was not involved and did not receive her share of the proceeds. (TAC ¶ 35, 36.) Plaintiffs allege that Van was involved in the sales and in excluding them from the process and proceeds. On or around May 1, 2020, Safdari agreed to purchase all of the outstanding membership interest in The Resort from Jason Giambi for $3,000,000, and a Membership Interest Purchase Agreement was executed by the parties. (*Id*. ¶ 39.) Thus, Cattaneo's 10% interest was sold out from under here without her consent or knowledge. (*Id.* ¶ 40.) Plaintiffs allege that even after the sale to Safdari, the various Defendants continued to deceive them and eventually began working a way to evict Plaintiffs.

Eventually, Cattaneo purchased the Properties from Safdari but at a purchase price far in excess of what would have been paid if the right of first refusal had been honored. (TAC ¶ 65.)

II. Legal Standard and Discussion

"A demurrer tests the sufficiency of a complaint and admits all facts properly pleaded." (*Setliff v. E.I.Du Pont de Nemours & Co.* (1995) 32 Cal. App. 4th 1525, 1533.) The court assumes the truth of the allegations asserted but does not assume the truth of "contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal. App. 4th 242, 247.) The court can further look at those facts that "reasonably can be inferred from those expressly pleaded, and matters of which judicial notice has been taken." (*Fremont Indemnity Co.,* 148 Cal. App. 4th 100, 111.) In considering the demurrer, the court must accept the allegations set forth in the complaint as true. (*Serrano v. Priest* (1971) 5 Cal.3d 584, 591.)

A statute-of-limitations defense may be raised by demurrer only where the bar clearly and affirmatively appears on the face of the pleading and matters properly subject to judicial notice. It is insufficient that the action merely might be barred. (*Committee for Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42.). While Defendants argue that the claims in the TAC are barred by the statute of limitations, this is not clearly and affirmatively on the face of the pleadings and is therefore not a basis for demurrer at this point.

A. Breach of Contract

To prevail on a cause of action for breach of contract, plaintiff must prove the contract, plaintiff's performance or excuse for nonperformance, defendant's breach, and resulting damage to the plaintiff. (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.)

Plaintiffs allege that there was a contract (the Operating Agreement.) They allege that Diamond breached the contract by attempting to sell all the outstanding membership interests in Resort to Safdari which violated Cattaneo's rights as a 10% owner. Plaintiffs further allege that Diamond eventually attempted to circumvent the terms of the contract by selling the Properties to Safdari instead of going through with the sale of the membership interests. As a result, Plaintiffs alleged they were damaged.

Defendants demur to this cause of action on the grounds that the sale of the membership interests never took place, thus there could be no breach. They also assert that because no sale took place, Cattaneo retained her 10% interest, and therefore was not damaged by the non-sale.

The TAC does not sufficiently allege details of a breach of contract. Accordingly, the demurrer is sustained, with leave to amend.

B. Implied Covenant

The elements for breach of the implied covenant of good faith and fair dealing are: (1) existence of a contract between plaintiff and defendant; (2) plaintiff performed his contractual obligations or was excused from performing them; (3) the conditions requiring defendant's performance had occurred; (4) the defendant unfairly interfered with the plaintiff's right to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant's conduct. (*Merced Irr. Dist. v. County of Mariposa* (E.D. Cal. 2013) 941 F.Supp.2d 1237, 1280 [discussing California law].) To allege a breach of the implied covenant, however, the claim must be for something "beyond breach of the contractual duty itself." (*Careau & Co. v. Security Pacific Business Credit, Inc,.* (1990) 222 Cal. App. 3d 1371, 1394.) A prerequisite to any claim for breach of an implied covenant is the existence of a contract. (*Smith v. City and County of San Francisco* (1990) 225 Cal.App.3d 38, 48-49.)

Defendants assert that this cause of action simply reiterates the cause of action for breach of contract. However, in this cause of action, Plaintiffs allege that the Defendants' behavior in trying to circumvent the Operating Agreement and to sell all the Resort's assets out from under Plaintiffs unfairly interfered with Plaintiffs' right to receive the benefits of the contract.

At this stage of the pleadings, the Court finds Plaintiffs adequately pled a cause of action for breach of the implied covenant of good faith and fair dealing. The demurrer is overruled.

The demurrer is **SUSTAINED with** 20 (twenty) days leave to amend **on the breach of contract** claim and **OVERRULED as** to the cause of action for **breach of the implied covenant** of good faith and fair dealing.

The clerk shall provide notice of this ruling to the parties forthwith. Plaintiffs to submit a formal Order and Judgment complying with Rule 3.1312 in conformity with this Ruling.

TYRE v TYRE

25CV48174

DEFENDANT'S MOTION TO VACATE ORDER DIRECTING SALE BY PARTITION

This is a dispute seeking partition of property ("Mobile Home") brought by Ethan Tyre ("Plaintiff") against Brianna Tyre ("Defendant.") Both parties represent themselves pro se.

Now before the Court is Defendant's Motion to Vacate the Court's Order Directing Partition by sale of the Mobile Home.

I. Background

Plaintiff filed his Complaint for Partition on July 24, 2025. Defendant denied the allegations in her Answer. On April 24, 2026, the Court granted Plaintiff's motion for partition by sale of the mobile home. In that Order, the Court appointed Michael Wright as referee and set a CMC for October 14, 2026.

Defendant moves to vacate the Court's April 24, 2026, Order on the grounds that she was not provided notice of the hearing on Plaintiff's motion until the day after the hearing. She asserts that her inability to present her side of the case at that hearing prejudiced her, violated her rights, and the Court must vacate the Order in order to allow matters to proceed on their merits.

II. Legal Standard and Discussion

"The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other